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Organising

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Syllabus Alignment & Chapter Architecture

Sub-Topic Domain	Official NTA CUET UG Unit V Syllabus Scope	High-Frequency Cognitive Skills Tested
Concept & Process	Meaning, importance, and 4 sequential steps (Division of work, Departmentalisation, Assignment of duties, Establishing reporting relationships).	Chronological ordering of organizing steps; identifying missing linkages in organizational design.
Organisation Structure	Span of management; Functional vs. Divisional structures (meaning, advantages, disadvantages, suitability).	Evaluating enterprise suitability for Functional vs Divisional models based on product diversification.
Formal vs. Informal	Formal and Informal organizations (meaning, features, advantages, disadvantages, and comparative analysis).	Distinguishing official scalar chain channels from spontaneous informal grapevine networks.
Delegation of Authority	Concept, elements (Authority, Responsibility, Accountability), flow directions, non-delegability of accountability.	Scenario analysis of manager-subordinate delegation breakdowns and absolute accountability.
Decentralisation	Concept, strategic importance, and comprehensive comparison with delegation.	Differentiating routine delegation from enterprise-wide decentralization policy philosophies.

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CUET HIGH-SCORING INSIGHT & KEY COGNITIVE TRAPS

Organising questions in CUET primarily test **Organisation Structures** and the **Elements of Delegation**. Master the non-negotiable legal-administrative rule: **Accountability cannot be delegated** under any circumstance. Even if a Managing Director delegates operational authority to a Sales Manager who sub-delegates it to an executive, the Managing Director remains 100% accountable to the Board of Directors. In structure questions, remember that **Span of Management** directly determines the **levels of management** (tall vs flat organization), and **Functional Structure** creates "functional empires" whereas **Divisional Structure** establishes autonomous product profit centers.

Concept & Epistemological Nature of Organising

Organising is the managerial function that follows planning. It involves identifying and grouping the work to be performed, defining and delegating authority and responsibility, and establishing relationships for the purpose of enabling people to work most effectively together in accomplishing objectives.

Core Epistemic Importance of Organising

A meticulously designed organizational framework yields seven vital institutional advantages:

1. **Benefits of Specialisation:** Organising systematically partitions the entire volume of enterprise activities into specialized tasks assigned to trained employees. Repeated performance

of distinct tasks produces occupational specialization, maximizes speed, minimizes physical fatigue, and enhances output quality.

2. **Clarity in Working Relationships:** The establishment of reporting relationships specifies unequivocally who reports to whom. This eliminates ambiguous reporting lines, removes communication bottlenecks, and clarifies the exact extent of managerial authority.
3. **Optimum Utilisation of Resources:** By systematically allocating tasks and defining job roles, organising eliminates duplicate efforts, prevents overlapping activities, and minimizes material and financial wastage.
4. **Adaptation to Change:** A well-structured organization accommodates changes in the dynamic external business environment (e.g., market expansion, technological disruption) by modifying managerial relationships and departmental hierarchies smoothly without operational disruption.
5. **Effective Administration:** By providing a clear description of job positions and corresponding duties, organising eliminates administrative confusion, prevents buck-passing, and ensures systematic corporate governance.
6. **Development of Personnel:** Delegation of routine authority allows top executives to focus on high-level strategic decisions while empowering subordinates to handle operational decisions, cultivating managerial confidence and leadership skills.
7. **Expansion and Growth:** By allowing the seamless addition of new departments, product lines, geographic territories, and sales channels, organising provides the structural architecture for scalable corporate growth.

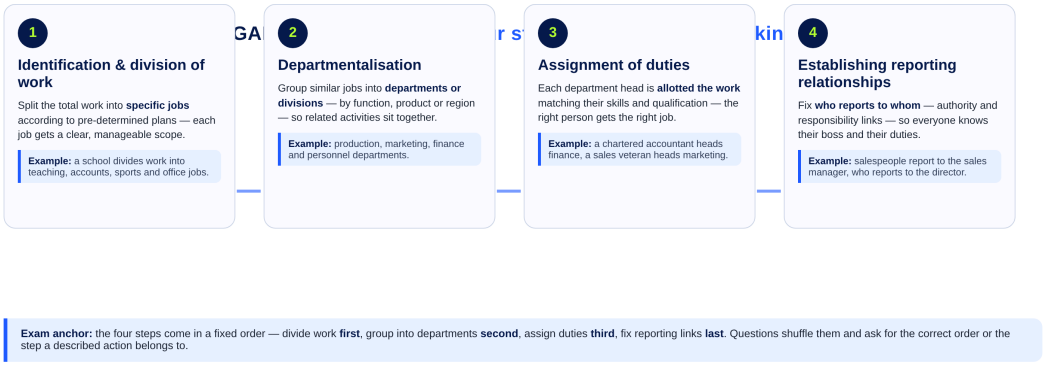


Figure 1: The Four Sequential Steps of the Organising Process: From task identification to formal reporting relationships.

The Four Sequential Steps of the Organising Process

The organising process follows a rigorous four-step sequence:

Step 1: Identification and Division of Work

- **Core Activity:** The total work of the enterprise is identified and partitioned into manageable, distinct activities in alignment with predetermined plans.
- **Rationale:** Work is divided to ensure that no single individual is burdened with excessive work and that task specialization is maximized while duplication of effort is avoided.

Step 2: Departmentalisation

- **Core Activity:** Once work is divided into specific activities, activities that are similar or related in nature are grouped together into compact administrative units called **Departments**.
- **Bases of Departmentalisation:**
  - **Functional Departmentalisation:** Grouping activities on the basis of functions (e.g., Production, Marketing, Finance, Human Resources).
  - **Product / Divisional Departmentalisation:** Grouping activities on the basis of distinct product lines (e.g., Cosmetics, Pharmaceuticals, Electronics).
  - **Territorial / Geographical Departmentalisation:** Grouping activities on the basis of geographic territories (e.g., Northern Region, Western Region, International Operations).

Step 3: Assignment of Duties

- **Core Activity:** Allocating specific work responsibilities to individual employees based on their specialized skills, competencies, qualifications, and psychological aptitudes.
- **Job Description & Document:** A formal document called a **Job Description** outlines the precise duties, responsibilities, and performance standards expected of the job incumbent.

Step 4: Establishing Reporting Relationships

- **Core Activity:** Defining clear lines of authority and reporting relationships so that every individual employee knows **from whom they receive orders** and **to whom they are accountable**.
- **Outcome:** The creation of a formal administrative hierarchy stretching from apex top management down to shop-floor operatives, establishing the corporate **Scalar Chain**.

Organisation Structure & Span of Management

An **Organisation Structure** is the formal framework within which managerial and operating tasks are performed. It defines how job tasks are divided, grouped, and coordinated.

Span of Management (Span of Control)

- **Definition:** The number of subordinates that can be effectively and efficiently supervised and managed by a single superior.
- **Structural Determinant:** The span of management directly determines the **number of levels of management** and the overall structural shape of an organization:
  - **Narrow Span of Management:** A superior manages only a few subordinates. This produces a **Tall Structure** with numerous hierarchical levels, tight supervisory control, slow top-down communication, and high administrative overhead costs.
  - **Wide Span of Management:** A superior manages a large number of subordinates. This produces a **Flat Structure** with few hierarchical levels, decentralized operational autonomy, rapid communication, and lower overhead costs.



Figure 2: Taxonomy of Organisation Structures (Functional vs. Divisional) and the Delegation Triad Architecture.

Functional vs. Divisional Organisation Structures

Enterprises organize their activities into one of two primary architectural structures:

1. Functional Structure

- **Definition:** An organizational design that groups activities and personnel strictly on the basis of specific functions (e.g., Production, Marketing, Finance, HR) under the apex executive.
- **Suitability:**
  - Enterprises manufacturing a **single product** or a small range of closely related products.
  - Organizations where functional specialization and technical efficiency are paramount.
  - Small to medium-sized business enterprises.
- **Key Advantages:**
  - **Occupational Specialisation:** Fosters deep expertise within functional domains, maximizing efficiency and output quality.
  - **Economical & Minimal Duplication:** Eliminates duplicate facilities and equipment across departments, achieving economies of scale.
  - **Simplified Training:** Focuses employee training on narrow, specialized functional skill sets.
- **Key Disadvantages:**
  - **Functional Empires:** Departmental heads often prioritize narrow departmental interests over overall corporate objectives, creating inter-departmental conflict.
  - **Coordination Bottlenecks:** Inter-departmental coordination becomes cumbersome as information must travel up and down the hierarchy.
  - **Difficult Accountability:** When profits fall, it is exceedingly difficult to pin accountability on a single department (e.g., production blames poor marketing; marketing blames defective production).
  - **Inflexibility:** Narrow functional focus impedes the development of well-rounded general managerial talent.

2. Divisional Structure

- **Definition:** An organizational design where activities are grouped into autonomous, self-contained business units or divisions based on distinct **product lines** or geographic territories. Each product division possesses its own complete set of functional departments (Production, Marketing, Finance).
- **Suitability:**
  - Large, multi-product enterprises operating diversified product lines (e.g., a conglomerate producing textiles, chemicals, food, and consumer appliances).
  - Enterprises pursuing rapid product diversification and geographic expansion.
- **Key Advantages:**
  - **Product Specialisation:** Fosters all-round competence in dealing with all facets of a single product line.
  - **Clear Accountability:** Each division operates as an autonomous **Profit Center**. Divisional revenue and expenses are measured independently, making executive accountability unambiguous.
  - **Rapid Decision Making:** Divisional heads have full autonomy to make decisions without seeking approvals from other product heads.
  - **Facilitates Diversification:** New product lines can be introduced as separate divisions without disrupting existing operations.
  - **Managerial Development:** Divisional heads gain comprehensive general management experience, preparing them for top boardroom leadership.
- **Key Disadvantages:**
  - **Costly Duplication:** Functional departments (HR, Marketing, Finance) are duplicated across every product division, resulting in substantially higher operational overhead.
  - **Inter-Divisional Conflict:** Divisions compete aggressively for scarce corporate capital allocations.
  - **Parochial Focus:** Divisional heads may ignore overall corporate interests, operating as independent fiefdoms.

Basis	Functional Structure	Divisional Structure
Formation	Grouped on the basis of specialized functions.	Grouped on the basis of product lines or geography.
Specialisation	Occupational and functional specialization.	Product and market specialization.
Accountability	Difficult to fix on a single functional department.	Easy to fix (autonomous product profit centers).
Managerial Growth	Limited (narrow specialized functional perspective).	High (comprehensive general management experience).
Cost Structure	Economical (zero duplication of functional units).	Expensive (duplication of functional teams across units).
Coordination	Difficult for multi-product diversified enterprises.	Easy within divisions; inter-divisional conflicts possible.

Formal vs. Informal Organisation

Within every enterprise, two distinct organizational networks coexist:

1. Formal Organisation

- **Definition:** The official structure of well-defined jobs, authority, responsibility, and communication intentionally designed and established by top management to accomplish corporate goals.
- **Key Features:** Prescribed by formal organizational charts and manuals; based on division of work; governed by explicit rules and procedures; communication flows strictly through the formal scalar chain; impersonal in orientation.
- **Advantages:** Systematic operational flow; stability; eliminates overlapping duties; clear accountability.
- **Disadvantages:** Procedural delays due to scalar chain rigidity; stifles employee initiative; ignores psychological needs.

2. Informal Organisation

- **Definition:** A spontaneous network of personal and social relationships that emerges naturally among employees working together within the formal organization.
- **Key Features:** Emerges spontaneously from human social interactions; possesses no written rules or formal hierarchy; communication travels through the **grapevine** (fast, multi-directional); highly personal and emotional; leadership is informal and peer-chosen.
- **Advantages:** Fast communication channel; fulfills psychological and social belonging needs; provides valuable informal feedback to management.
- **Disadvantages:** Rapid spread of harmful rumors; resistance to management changes; can disrupt formal productivity if informal group norms conflict with corporate goals.

Delegation of Authority

Delegation is the downward assignment of authority from a superior to an immediate subordinate to enable the accomplishment of assigned operational tasks. It is an indispensable operational necessity: no single manager can personally perform all enterprise tasks.

The Three Essential Elements of Delegation

1. Authority

- **Concept:** The formal right of an executive to make decisions, issue commands, and allocate corporate resources.
- **Source / Origin:** Arises from the manager's formal administrative position in the scalar chain hierarchy.
- **Flow Direction:** Flows strictly **downward** from a superior to a subordinate.
- **Delegability:** Can be delegated to subordinates to the extent necessary to perform assigned duties.

2. Responsibility

- **Concept:** The correlative obligation of a subordinate to properly execute assigned duties and achieve expected performance standards.
- **Source / Origin:** Arises from the superior-subordinate reporting relationship.
- **Flow Direction:** Flows strictly **upward** from a subordinate to their superior.
- **Delegability:** Can be shared with a subordinate; however, the delegating superior retains ultimate responsibility.

3. Accountability

- **Concept:** The answerability for the final outcome of the assigned task.
- **Source / Origin:** Arises directly from responsibility.

- **Flow Direction:** Flows strictly **upward** from a subordinate to their superior.
- **Delegability — The Absolute Rule: ACCOUNTABILITY CANNOT BE DELEGATED!** While a manager can delegate authority and share responsibility, the manager remains 100% accountable to higher authorities for the final performance of subordinates.

Basis	Authority	Responsibility	Accountability
Meaning	Right to command and allocate resources.	Obligation to perform assigned task.	Answerability for final outcome.
Origin	Arises from formal organizational position.	Arises from superior-subordinate relation.	Arises from responsibility.
Flow Direction	Flows downward (superior to subordinate).	Flows upward (subordinate to superior).	Flows upward (subordinate to superior).
Delegability	Can be delegated to subordinates.	Can be shared, but not completely delegated.	CANNOT be delegated under any condition.

Decentralisation: Enterprise-Wide Policy Philosophy

Decentralisation is a conscious, systematic policy philosophy of dispersing decision-making authority down through all levels of the management hierarchy, retaining only key strategic decisions at apex corporate headquarters.

Delegation vs. Decentralisation Comparative Analysis

- **Scope & Nature:** Delegation is a mandatory two-person operational devolution of authority required for daily functioning; Decentralisation is an optional enterprise-wide structural policy chosen by top leadership.
- **Freedom of Action:** Delegation provides limited subordinate autonomy under close superior oversight; Decentralisation provides broad operational latitude to divisional managers.
- **Purpose:** Delegation aims to lessen executive burden; Decentralisation aims to empower lower-level managers and foster grassroots leadership.

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Advanced Theoretical Foundations: Span of Management & Graicunas' Model

The concept of **Span of Management** is one of the most critical structural determinants of organizational architecture.

1. Factors Determining the Optimum Span of Management

The number of subordinates a manager can effectively control is not fixed; it is governed by six key situational variables:

- **Nature and Complexity of Work:** Routine, highly standardized, and repetitive tasks permit a wide span of control (e.g., supervising 30 call center agents). Conversely, complex, volatile, and highly customized R&D tasks demand a narrow span (e.g., supervising 4 software architects).
- **Competence and Experience of Subordinates:** Well-trained, self-motivated, and experienced personnel require minimal day-to-day guidance, enabling a wider span.
- **Capacity and Leadership Caliber of Superior:** Astute managers with exceptional communication skills, emotional intelligence, and quick decision-making ability can manage larger teams.
- **Degree of Decentralisation:** When managers empower subordinates with high decision-making autonomy under clear policies, the superior's supervisory burden decreases, permitting a wider span.
- **Availability of Standard Operating Procedures (SOPs):** Clearly defined operating rules reduce routine exceptions, facilitating broader spans.
- **Use of Advanced Communication & IT Systems:** Automated dashboards, enterprise software (ERP, Slack, Jira), and real-time tracking enable managers to monitor larger teams effortlessly.

2. V.A. Graicunas' Mathematical Theory of Superior-Subordinate Relationships

French management consultant V.A. Graicunas mathematically demonstrated that as the number of direct subordinates increases arithmetically, the number of potential interpersonal relationships increases geometrically:

- Graicunas identified three distinct types of relationships:
  1. **Direct Single Relationships:** Direct one-on-one connections between the superior (S) and individual subordinates (A, B, C).
  2. **Direct Group Relationships:** Interactions between the superior and various combinations of subordinates (e.g., S consulting with A in the presence of B).
  3. **Cross Relationships:** Mutual interactions and peer relationships among subordinates themselves (e.g., A interacting with B, or B interacting with C).
- **The Mathematical Formula:** If a manager supervises n direct subordinates, the total number of potential relationships (R) is given by:

$$R = n(2^{n-1} + n - 1)$$

- **Practical Implication:** If a manager has 4 subordinates, $R = 4(8 + 3) = 44$ relationships. If the manager adds merely 2 more subordinates ($n = 6$), R surges to 222 relationships! This exponential explosion in interpersonal complexity explains why narrow spans are essential at apex corporate leadership tiers.

Advanced Dynamics of Informal Organisation: The Grapevine Networks

While the formal organization is deliberately engineered on paper, the **Informal Organisation** operates through spontaneous human communication channels known as the **Grapevine**.

1. Professor Keith Davis' Classification of Grapevine Networks

Keith Davis categorized grapevine communication patterns into four distinct structural configurations:

1. **Single Strand Network:** Information travels in a straight chronological sequence from one person to another (A tells B, who tells C, who tells D). Information is prone to extreme progressive distortion as it moves along the chain.
2. **Gossip Network:** One central individual non-selectively broadcasts information to all members in their social circle. Often functions as the chief source of workplace gossip and informal leaks.
3. **Probability Network:** An individual communicates information randomly to several other employees, who in turn transmit it randomly to others according to the laws of probability.
4. **Cluster Network:** One person conveys information selectively to a few trusted colleagues, who then convey it to their own selected confidants. **Empirical research confirms that the Cluster Network is the most prevalent grapevine pattern in corporate enterprises.**

2. Strategic Management & Utilization of the Grapevine

Astute corporate leaders do not attempt to suppress or eradicate the informal organization (which is impossible). Instead, they harness it strategically:

- **Early Feedback & Pulse Checks:** Managers monitor grapevine currents to gauge employee sentiment, morale, and potential resistance before announcing official policy shifts.
- **Rapid Dissemination of Urgent Information:** In crisis situations, informal networks can transmit urgent messages far faster than rigid formal memos.
- **Harnessing Informal Leaders:** Identifying informal group opinion-leaders and securing their alignment enables smoother change management.

Contemporary Real-World Corporate Case Studies in Organising

Case Study 1: Structural Evolution at Tata Motors (Commercial Vehicles vs. Passenger EV Division)

For decades, Tata Motors operated under a unified **Functional Structure**, with centralized production, marketing, and procurement departments managing commercial trucks and consumer cars simultaneously.

- **Strategic Dilemma:** With the emergence of Electric Vehicles (EVs) and divergent consumer expectations, the functional structure created decision bottlenecks. Commercial truck engineers could not prioritize battery algorithms or digital infotainment systems.
- **Divisional Transformation:** Tata Motors executed a structural pivot, spinning off its passenger and electric vehicle business into an autonomous **Divisional Structure** (Tata Passenger Electric Mobility Ltd.).
- **Outcome:** The EV division operates as an independent profit center with its own dedicated R&D, design, and marketing teams, capturing over 70% of the Indian electric car market.

Case Study 2: General Electric (GE) & The Matrix Organisation Paradigm

In complex multi-national enterprises, pure functional or pure divisional structures often prove inadequate. General Electric deployed a **Matrix Organisation Structure**:

- **Dual Authority System:** An aerospace engineer reports simultaneously to two superiors: a **Functional Manager** (Vice President of Propulsion Engineering, who oversees technical standards and career development) and a **Project Manager** (Head of the Boeing 777X Engine Programme, who controls delivery deadlines and project budgets).
- **CUET Analytical Note:** While Matrix structures maximize technical resource sharing, they deliberately violate Henri Fayol's **Unity of Command**, demanding high interpersonal maturity to prevent executive conflict.

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Chapter Synthesis & Cognitive Mindmap

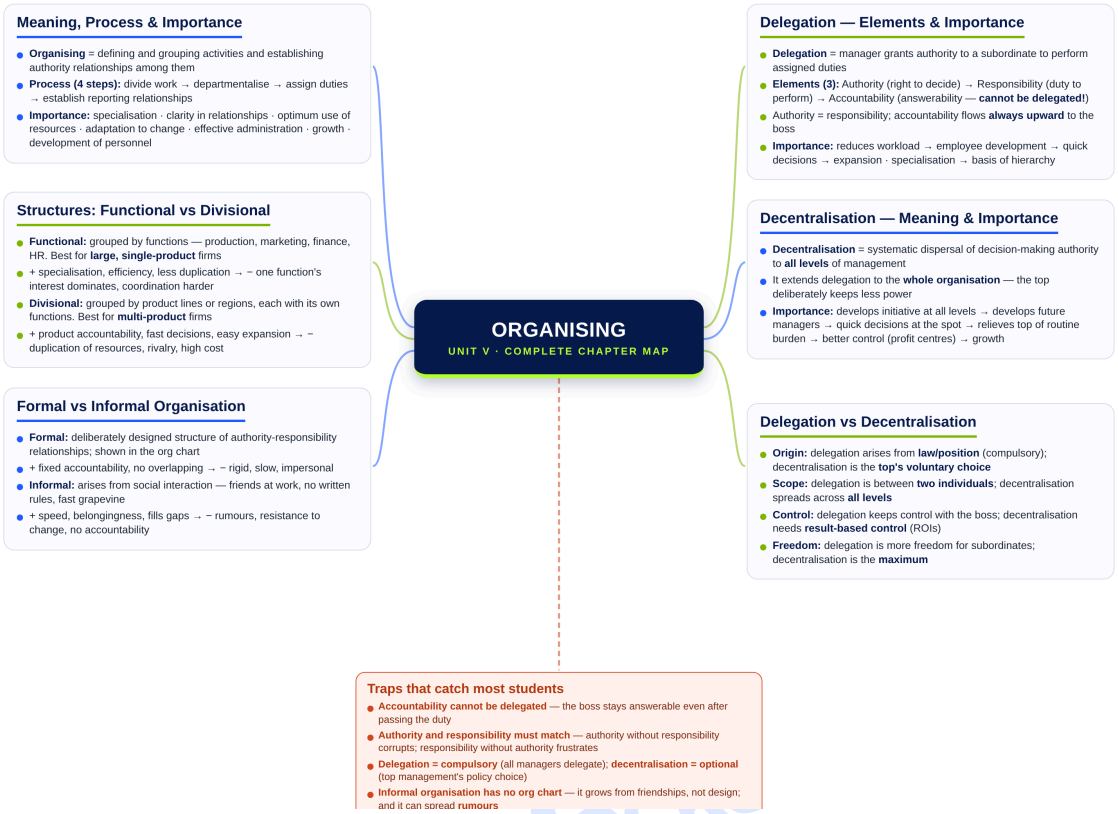


Figure 3: Cognitive architectural mindmap of Organising: Synthesizing concept, process, structure taxonomy, formal/ informal dynamics, delegation triad, and decentralisation.

HIGH-YIELD MEMORY HOOKS FOR CUET 2027 BUSINESS STUDIES UNIT 5

Keep these fundamental conceptual anchors primed during the exam:

- **Span of Management:** Determines the number of hierarchical levels (narrow span = tall structure; wide span = flat structure).
- **The 4 Organising Steps:** Identification of work → Departmentalisation → Assignment of duties → Establishing reporting relationships.
- **Functional vs Divisional:** Functional = single product, occupational expertise, functional empires, cost-efficient; Divisional = multi-product, autonomous profit centers, product specialization, duplicated costs.
- **Accountability is Absolute:** Can never be delegated; the superior remains answerable for subordinate failures.
- **Authority Flows Downward; Responsibility & Accountability Flow Upward.**
- **Formal vs Informal:** Formal = deliberate, scalar chain, impersonal; Informal = spontaneous, grapevine, social belonging.
- **Delegation vs Decentralisation:** Delegation is a routine two-person transfer; Decentralisation is an enterprise-wide policy philosophy.

MASTER STRATEGY CHEATSHEET — ORGANISING

1. Core Concept & Process:

- Grouping work, establishing authority relations, allocating resources.
- **4 Steps:** Identification of work → Departmentalisation → Assignment of duties → Establishing reporting relationships.

2. Organisation Structures:

- **Span of Management:** Subordinates per manager; determines tall vs flat structure.
- **Functional:** Grouped by function; single product; occupational specialization; difficult accountability.
- **Divisional:** Grouped by product line; multi-product; autonomous profit center; easy accountability; duplicated cost.

3. Formal vs Informal:

- **Formal:** Deliberately created, scalar chain, official rules, stable, slow.
- **Informal:** Spontaneous social network, grapevine, psychological satisfaction, fast, rumor prone.

4. Delegation Triad:

- **Authority:** Right to command; position-based; flows downward; delegable.
- **Responsibility:** Obligation to perform; relation-based; flows upward; shared.
- **Accountability:** Answerability for outcome; flows upward; NEVER delegable.

5. Decentralisation:

- Enterprise-wide dispersal of decision authority down to lowest tiers. Relief to top management, quick decisions, managerial talent development, local initiative.

THE SEVEN FATAL CUET TRAPS IN ORGANISING

1. **The Non-Delegability of Accountability Trap:** Believing a manager who delegates authority to an assistant is absolved of blame. **Accountability cannot be delegated**.
2. **Span of Management Determining Factor:** Span of management determines the **number of levels of management**, not enterprise profitability or capital.
3. **Functional Structure Profit Center Fallacy:** Assuming functional departments can be profit centers. Only **Divisional units** operate as independent profit centers.
4. **Informal Organisation Source Trap:** Believing informal groups are created by management. Informal organization emerges **spontaneously** from human social needs.
5. **Authority vs Responsibility Flow Confusion:** Authority flows **downward**; Responsibility and Accountability flow **upward**.
6. **Delegation vs Decentralisation Equivalence:** Treating them as identical. Delegation is a two-person necessity; Decentralisation is an **enterprise-wide structural philosophy**.
7. **Departmentalisation Bases Trap:** Mixing up functional and divisional bases. Grouping by jobs = **Functional**; grouping by product lines = **Divisional**.

Exam-Style Practice Questions & Detailed Solutions

Part 1: High-Yield Conceptual Foundations & Organising Process (Q1 to Q5)

Q1. A large multi-product conglomerate manufactures consumer electronics, packaged cosmetics, branded garments, and leather footwear. Each product line has its own independent production, marketing, finance, and human resource departments, functioning as an autonomous profit center. Which organization structure is deployed here?

(A) Functional Structure
(B) Matrix Structure
(C) Divisional Structure
(D) Informal Structure

Sol. Q1. Identifying Divisional Structure:

- A **Divisional Structure** groups activities on the basis of distinct product lines or territories. Each product division is an autonomous profit center with its own complete set of functional departments.
- Deploying independent functional units for cosmetics, garments, and electronics exemplifies a **Divisional Structure** (Option C).

Answer: (C)

Q2. In an engineering company, the Chief Production Officer delegated the task of assembling 500 hydraulic pump units within 10 days to the Plant Supervisor, granting full authority to draw components and assign overtime. Due to negligence, the supervisor completed only 320 units. When the Board questioned the shortfall, the Chief Production Officer argued that the supervisor was solely responsible. In management theory, the CPO's defense is:

(A) Completely valid because authority was fully delegated
(B) Invalid because accountability is absolute and cannot be delegated
(C) Valid because responsibility flows downward
(D) Invalid because delegation eliminates the scalar chain

Sol. Q2. Principle of Absolute Accountability:

- While a manager can delegate authority and assign responsibility to a subordinate, **Accountability is absolute and can NEVER be delegated**.
- The superior remains 100% answerable to higher management for the final outcome of tasks assigned to subordinates.

Therefore, the CPO's defense is **invalid because accountability cannot be delegated** (Option B). **Answer: (B)**

Q3. Which of the following parameters directly determines the number of hierarchical levels and the overall structural shape (tall vs flat) of an organization?

(A) Scalar Chain length
(B) Total Share Capital
(C) Degree of Centralisation
(D) Span of Management

Sol. Q3. Span of Management:

- **Span of Management** refers to the number of subordinates that can be effectively supervised by a single manager.
- A narrow span creates a **Tall Structure** with many levels; a wide span creates a **Flat Structure** with fewer levels.

Therefore, it directly determines the levels of management (Option D). **Answer: (D)**

Q4. Arrange the following steps of the organising process in their correct chronological order: I. Departmentalisation II. Assignment of duties III. Establishing reporting relationships IV. Identification and division of work Choose the correct option:

(A) IV → I → II → III
(B) I → IV → II → III
(C) IV → II → I → III
(D) II → IV → I → III

Sol. Q4. Chronological Steps of Organising:

- The 4-step organising process strictly follows:
  1. Identification and division of work (IV);
  2. Departmentalisation (I);
  3. Assignment of duties (II);
  4. Establishing reporting relationships (III).

Therefore, the correct sequence is IV → I → II → III (Option A). **Answer: (A)**

Q5. Which of the following characteristics accurately describes the 'Informal Organisation'?

(A) Deliberately created by top management to accomplish corporate targets
(B) Governed by strict written rules, manuals, and official reporting hierarchies
(C) Emerges spontaneously from social interactions and satisfies psychological belonging needs
(D) Communication travels strictly through the prescribed formal scalar chain

Sol. Q5. Features of Informal Organisation:

- An **Informal Organisation** is a spontaneous network of personal and social relationships that emerges naturally among employees. It has no written rules, satisfies psychological needs, and communicates via the grapevine.

Therefore, Option C accurately describes the informal organization. **Answer: (C)**

Part 2: Applied Workplace Scenarios & Delegation Triad (Q6 to Q10)

Q6. A fast-growing software enterprise transitions from a centralized setup where the founder approved every employee expense to an enterprise-wide policy where project leads are officially empowered to approve travel expenses up to ₹1 lakh, hire contractors, and resolve client disputes independently. This systemic empowerment represents:

(A) Decentralisation (B) Delegation
(C) Informal Organisation (D) Divisional Structuring

Sol. Q6. Delegation vs Decentralisation:

- **Decentralisation** is an enterprise-wide policy philosophy of systematically dispersing decision-making authority down through all levels of the management hierarchy.
- Extending decision-making autonomy across all project leads reflects **Decentralisation** (Option A).

Answer: (A)

Q7. Consider the three elements of delegation: Authority, Responsibility, and Accountability. Which of the following correctly pairs an element with its direction of flow in an organization?

(A) Authority — Flows Upward; Responsibility — Flows Downward (B) Authority — Flows Downward; Accountability — Flows Upward
(C) Responsibility — Flows Downward; Accountability — Flows Downward (D) Accountability — Flows Downward; Authority — Flows Upward

Sol. Q7. Direction of flow in delegation triad:

- **Authority** flows **downward** (superior grants rights to subordinate).
- **Responsibility** flows **upward** (subordinate is obligated to superior).
- **Accountability** flows **upward** (subordinate is answerable to superior).

Therefore, the correct pair is **Authority — Flows Downward; Accountability — Flows Upward** (Option B). **Answer: (B)**

Q8. A commercial bank observes that employee morale is low because bank tellers cannot rectify minor passbook printing errors without securing written approval from the Branch Manager. The bank amends its rules, permitting tellers to verify and rectify printing errors up to ₹5,000 on their own. In managerial terms, the bank has balanced:

(A) Discipline and Equity (B) Scalar Chain and Order
(C) Authority and Responsibility (D) Unity of Command and Unity of Direction

Sol. Q8. Parity of Authority and Responsibility:

- A subordinate entrusted with the responsibility of an operational task must be granted commensurate authority to execute it without unnecessary bureaucratic delays.
- Giving tellers the authority to rectify ledger errors balances **Authority and Responsibility** (Option C).

Answer: (C)

Q9. Which of the following is a major disadvantage specifically associated with a 'Functional Structure'?

(A) Duplication of functional departments across multiple divisions (B) Inability to achieve occupational and functional specialization
(C) Higher operating costs due to separate product profit centers (D) Difficulty in developing all-round general management perspective

Sol. Q9. Disadvantages of Functional Structure:

- Functional structure trains managers in a narrow, specialized functional domain (e.g., only production or only finance), making it difficult to groom all-round general managers.
- In contrast, duplication of facilities and higher costs are disadvantages of **Divisional Structure**.

Therefore, the disadvantage is **Difficulty in developing general management perspective** (Option D). **Answer: (D)**

Q10. An apparel brand observes that rumors regarding a pending plant closure spread among 2,000 factory workers within two hours, causing an unscheduled walkout. Management subsequently used the same informal social channels to communicate an official wage hike and dispel rumors. This informal communication channel is known as:

(A) The Scalar Chain (B) The Gang Plank
(C) The Grapevine (D) The Formal Wheel Network

Sol. Q10. The Grapevine Communication Network:

- The informal communication network within an organization is known as the **Grapevine**. It cuts across formal reporting lines, spreads information with astonishing speed, but carries a high risk of transmitting distorted rumors.

Therefore, this channel is the **Grapevine** (Option C). **Answer: (C)**

Part 3: Advanced Evaluative & Comparative Case Vignettes (Q11 to Q15)

Q11. A healthcare enterprise operates a specialized single-specialty eye hospital in Jaipur. It operates strictly four departments: Clinical Surgery, Patient Care, Medical Equipment, and Accounts. The management plans to maintain this single line of service. Which organization structure is most suitable for this hospital?

(A) Functional Structure
(B) Divisional Structure
(C) Matrix Structure
(D) Territorial Structure

Sol. Q11. Suitability of Functional Structure:

- A **Functional Structure** is most suitable for enterprises with a **single product line** or a single service offering, where occupational specialization and cost minimization are essential.
- For a single-specialty hospital, the **Functional Structure** is ideal (Option A).

Answer: (A)

Q12. Consider the following two statements regarding organization design: Statement I: A wide span of management results in a tall organizational structure with multiple supervisory tiers. Statement II: Accountability can be shared with subordinates, but responsibility cannot be delegated. Choose the correct option:

(A) Statement I is true, Statement II is false
(B) Statement I is false, Statement II is true
(C) Both Statement I and Statement II are true
(D) Both Statement I and Statement II are false

Sol. Q12. Evaluating Span and Delegation:

- Statement I is false: A **wide span** of management results in a **flat** organizational structure with few tiers (a narrow span produces a tall structure).
- Statement II is false: **Accountability cannot be delegated** under any condition; it is responsibility that can be shared, while accountability remains absolute.

Therefore, **Both Statement I and Statement II are false** (Option D). **Answer: (D)**

Q13. Which of the following represents a primary distinction between Delegation and Decentralisation?

(A) Delegation is an optional structural policy, while Decentralisation is a mandatory daily operational act
(B) Delegation is a two-person transfer of authority, while Decentralisation is an enterprise-wide dispersal of decision-making power
(C) Delegation provides total subordinate autonomy, while Decentralisation requires continuous superior surveillance
(D) Delegation eliminates the scalar chain, while Decentralisation strengthens centralized autocracy

Sol. Q13. Delegation vs Decentralisation:

- **Delegation** is a mandatory, routine two-person transfer of authority from a manager to an immediate subordinate.
- **Decentralisation** is an optional, top-level enterprise-wide policy philosophy dispersing decision authority across all levels.

Therefore, Option B states the primary structural distinction. **Answer: (B)**

Q14. An industrial conglomerate notices that its chemical division and textile division are in continuous conflict over the allocation of central treasury funds, and both divisions have established separate duplicate legal teams, inflating overhead expenses. These operational challenges are classic drawbacks of which structure?

(A) Functional Structure
(B) Flat Structure
(C) Informal Structure
(D) Divisional Structure

Sol. Q14. Drawbacks of Divisional Structure:

- Duplication of functional teams (e.g., separate legal departments in each division) and inter-divisional competition for corporate funds are prominent disadvantages of the **Divisional Structure**.

Therefore, these drawbacks characterize a **Divisional Structure** (Option D). **Answer: (D)**

Q15. In an automobile manufacturing firm, the Managing Director grants the Plant Head authority to sanction up to ₹25 lakh for emergency machine overhauls without prior board approval. In return, the Plant Head is obligated to submit a weekly machine uptime log and remains answerable for plant production targets. This administrative arrangement embodies the complete integration of:

(A) Planning, Organising, and Controlling
(B) Authority, Responsibility, and Accountability
(C) Formal Structure, Informal Structure, and Grapevine
(D) Centralisation, Span of Control, and Unity of Direction

Sol. Q15. The Complete Delegation Triad:

- Granting ₹25 lakh expenditure power = **Authority**;
- Obligation to submit uptime logs = **Responsibility**;
- Ultimate answerability for production targets = **Accountability**.

This integrates the complete **Delegation Triad** (Option B). **Answer: (B)**